

ALPHABET INC. (GOOGL) — THREAD AND SUBSTACK POST

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Companion to the GOOGL Investment Memo

Part 1: X / Twitter Thread (10 posts)

1/ A year ago, the consensus was: ChatGPT will kill Google Search. Cloud is a third-place commodity. Capex will torch shareholder value. GOOGL traded at 17x forward earnings, bottomed near \$150 in March 2025. Twelve months later, every leg of that thesis has weakened. Here's how I'm thinking about position sizing from here.

2/ The AI narrative reversed faster than anyone predicted. Gemini's share of generative-AI chatbot web traffic moved from 5.7% (Jan 2025) to 21.5% (Jan 2026) per Similarweb. MAU went from 350M to 750M. Distribution beat capability. Gemini ships in Android, Chrome, Workspace.

3/ Cloud is the bigger story. Q1 2026 revenue +63% to \$20B. Op income tripled to \$6.6B. Margin expanded 15 percentage points to 32.9% in a single year on a base growing 63%. Backlog roughly doubled to \$460B — six years of forward visibility at run rate.

4/ Headline EPS was \$5.11 but \$2.35 came from a one-time mark-to-market gain on private equity stakes (SpaceX, Anthropic). Underlying EPS was ~\$2.76. Operating income +30% YoY is the honest read — the headline overstates underlying performance. Always check the composition.

5/ The 22% revenue growth this quarter is the fastest in 2+ years. But CAGR from Q1 2020 to Q1 2026 is 17.8%. Current quarter is running 4 points above long-run trend. Meaningful but not extraordinary. One quarter above trend doesn't confirm a new regime — that's what next 2-3 quarters will tell.

6/ Valuation: GOOGL at ~\$345 trades at 23x forward earnings vs 5-yr average 25x. Earnings yield 4.3%, roughly equal to 10-yr Treasury. PEG ~1.6 using long-term EPS growth of 14%. Reasonable but not cheap. The case rests on durability of growth, not on absolute multiple.

7/ Stress-tested with Monte Carlo: 10,000 paths, 12% expected return, 30% volatility (3-yr realized). 60% probability of profit. But probability of at least 30% drawdown during the year is 34%. Mean drawdown experienced is 27%. Holding through a 25% drawdown is the modal path, not the tail.

8/ Where I'm worried: \$175-190B capex in 2026, 2027 higher. Combined hyperscaler picture has uncomfortable parallels to 2000-era telecom overbuild. Backlog hedges near-term version. Long-term version cannot be hedged within the position. This is the real risk to underwrite.

9/ Sizing from explicit math: Max drawdown method gives 4.4% (1.5% portfolio damage tolerance / 34% worst-case). Vol-based gives 3.3% (1% target risk / 30% vol). Half-Kelly

converges in same range. Three methods agree on 3-5% as the band. I'm at 3-4% with capacity to scale to 5-6% on confirmation.

10/ Exit triggers: Cloud below 35% growth for two consecutive quarters. Search below 8%. Chrome divestiture ordered. Op margin below 32%. None happening today. The trade is on three things continuing to work — Cloud margin, Search above 10%, capex translating into revenue. None requires believing AI is everything. Just this company continuing to do what it just did.

Part 2: Substack Post

The Bear Case on Google Has Been Disproven. The Easy Money Is Gone.

Twelve months ago, the consensus on Alphabet was bleak. ChatGPT was going to eat Search for breakfast. Google Cloud was a third-place commodity that would never escape the shadow of AWS and Azure. The capex required to compete in AI was going to torch tens of billions in shareholder value with unclear returns. The stock priced this in. By March 2025, GOOGL had fallen to roughly \$150, trading at about 17 times forward earnings — the kind of multiple you see on a business in structural decline rather than one of the most profitable companies in the world.

That was the moment to be a contrarian. The thesis was that fear was overstated, the moats were more durable than feared, and the business was about to demonstrate it could compete in AI rather than be displaced by it. Anyone who took that view at \$150 has been rewarded. The stock now trades around \$345. The contrarian opportunity is gone. What's left is a more interesting question: now that the bear case has been measurably disproven, what kind of investment is GOOGL today?

The Q1 2026 earnings print, released April 29, gave us the strongest direct evidence yet that the bearish narrative was wrong. Total revenue grew 22% year over year to \$109.9 billion, the fastest growth in over two years. Search and other revenue grew 19%, which is striking because the bear case specifically predicted that AI Overviews would erode monetization. Google Cloud revenue grew 63% to \$20.0 billion, with operating income tripling from \$2.2 billion to \$6.6 billion and segment margin expanding 15 percentage points in a single year to 32.9%. The Cloud backlog roughly doubled sequentially to \$460 billion, representing approximately six years of forward visibility at the current quarterly run rate.

On the AI competitive front, the narrative has reversed faster than anyone expected. Gemini's share of generative-AI chatbot web traffic moved from 5.7% in January 2025 to 21.5% in January 2026, while ChatGPT's share fell from 86.7% to 64.5%. Gemini monthly active users grew from 350 million to 750 million over the year. The lesson is one finance people consistently underestimate: distribution beat capability. Gemini ships embedded in Android, Chrome, and Workspace, where billions of users encounter it without conscious adoption. ChatGPT requires you to actively choose it.

All of this is genuinely bullish, and yet I find myself only modestly long the stock rather than swinging for the fences. The price has more than doubled from the lows. The forward multiple of 23x is below the five-year average of 25x but is not a screaming bargain. The earnings yield of 4.3% is roughly equal to the 10-year Treasury, meaning the equity risk premium for owning Alphabet is unusually narrow. Computing the compound annual growth rate from Q1 2020 to Q1 2026 gives 17.8%. The current quarter at 22% growth is running 4 points above the long-run trend, meaningful but not extraordinary. One quarter above trend is consistent with either a new

growth regime or a cyclical peak, and the same data point cannot distinguish between these without further confirmation.

To stress test my view rather than rely on point estimates, I ran a Monte Carlo simulation with 10,000 one-year price paths using a 12% expected annual return derived from earnings yield plus expected EPS growth, and 30% annual volatility based on GOOGL's three-year realized. The simulation gives a 60% probability of profit. But the more important number for sizing is the drawdown distribution. Mean maximum drawdown experienced during the year is 27%. The probability of seeing at least a 30% drawdown is 34%. Holding through a 25% drawdown is the modal path, not the tail. Anyone who isn't psychologically prepared for that experience shouldn't size aggressively.

Position sizing should be derived from explicit calculation rather than gut feel, and three independent methods point to a similar answer. The maximum drawdown method asks: if I want this position to cost no more than 1.5% of the total portfolio in a 95% confidence scenario, that is 1.5% divided by the simulated 34% worst-case drawdown, giving 4.4%. The volatility-based method takes a 1% target risk contribution divided by 30% volatility and gives 3.3%. Half-Kelly with conservative inputs converges in the same range. Three methods agree on 3 to 5% as the defensible band, which is why I am sizing at 3 to 4% with willingness to scale to 5 to 6% on confirmation.

The risks are real and worth naming clearly. The capex parabola worries me most. Alphabet plans \$175 to \$190 billion of capex in 2026, with 2027 higher. The combined hyperscaler picture has uncomfortable parallels to the 2000-era telecom overbuild, where companies confused infrastructure spending with strategic moats and saw returns collapse when demand normalized. The Cloud backlog hedges the near-term version, but the longer-term version cannot be hedged within the position. The DOJ's appeal of the antitrust ruling seeks Chrome divestiture, which Morgan Stanley's framework suggests could translate to 5 to 8% search traffic erosion and \$15 to 25 billion of at-risk revenue. These are tails, not base cases, but they cannot be hedged.

My exit triggers are explicit. I would reduce or exit if Cloud growth prints below 35% for two consecutive quarters, if Search rolls below 8% without a credible monetization narrative, if the D.C. Circuit orders Chrome divestiture, if operating margin contracts below 32% on a full-quarter basis, or if 2027 capex implies a revenue payback of more than six years. None are happening today. Writing them down now is what protects me from rationalizing my way through deteriorating fundamentals later when emotional pressure is high.

Long Alphabet at approximately \$345, sized 3 to 4% of a balanced equity book. Over twelve months, my expected outcome range is +15 to +25% in the base case if Cloud and Search hold and no major shock materializes, and negative 25 to negative 35% if multiple thesis pillars break simultaneously. Reward-to-risk on a single-name basis is approximately one-to-one. The reason to own this rather than wait is that the regime fits, the business is executing, and the asymmetry

from here is acceptable for a moderate position. The reason not to size larger is that the easy money has been made, the simulation shows realistic 30% drawdowns happen in a third of paths even with positive expected returns, and discipline at this stage matters more than aggressive sizing. The trade is on three measurable things continuing to work: Cloud margin expansion, sustaining, Search holding above 10% growth, and capex translating into revenue. None requires believing AI is the future of everything. They require this specific company to continue to do what it just did.